

Key Findings

1. Overall return rate is above the target

The analysis shows that there are **34,500 total orders**, out of which **1,903 orders were returned**. This gives an overall return rate of **5.52%**. The target return rate is **less than 5%**, so the current return rate is slightly higher than the target. This shows that returns are an issue that the business needs to pay attention to.

2. Product dissatisfaction is a major reason for returns

The most common reason for returns is **"Not as described,"** which accounts for **25.75% of all returns (490 orders)**. The second most common reason is **"No longer needed,"** with **25.28% (481 orders)**.

Together, these two reasons account for **51.03% of all returned orders**. This shows that customers' expectations and the information provided about the products can have a major impact on returns.

3. Fashion and Electronics have higher return rates

Among all the product categories, **Fashion has the highest return rate at 8.28%**, followed by **Electronics at 7.30%**. **Grocery has the lowest return rate at 1.31%**.

There is a noticeable difference between these categories. This means that some categories are more likely to have returns than others. Fashion and Electronics should be studied further to understand the main reasons behind their higher return rates.

4. Return rates are slightly different across regions

The **East region has the highest return rate at 5.91%**, followed by the **South region at 5.68%**. The **Central region has the lowest return rate at 5.10%**.

The difference between the regions is not very large, but the East region has the highest rate. It would be useful to check if factors such as product mix, customer behavior, or delivery and fulfillment issues are affecting the return rate in this region.

5. Returns are causing a financial impact

The analysis shows approximately **₹388,755.97 in lost revenue** and around **₹61,805.46 in affected profit** because of returns.

Among the different categories, **Electronics has the highest revenue loss, at approximately ₹245K**. This makes Electronics an important category to focus on because reducing returns here could help reduce the overall financial loss.

6. Higher discounts do not always mean higher returns

The analysis does not show a clear pattern between discount levels and return rates. The **1%–10% discount band has the highest return rate at 5.80%**, followed by **11%–20% at 5.51%**, **no discount at 5.41%**, and **21%–30% at 4.26%**.

Based on this data, we cannot say that higher discounts directly lead to higher return rates. Other factors, such as the type of product, product quality, and customer expectations, may also affect whether a customer returns an order.

Business Recommendations

1. Improve product information

The business should improve product descriptions, specifications, images, and other product information available to customers. This is especially important for products that have a high number of **"Not as described"** returns. Providing clear and accurate information can help customers understand the product better before making a purchase.

2. Focus more on Fashion and Electronics

Since **Fashion and Electronics have the highest return rates**, these categories should be studied in more detail. A further analysis at the **SKU level** can help identify which products, subcategories, and return reasons are responsible for the higher return rates.

3. Focus on Electronics to reduce financial losses

Electronics has the highest category-level revenue loss, at approximately **₹245K**. Therefore, the business should give more attention to this category and check issues related to product quality, product descriptions, customer expectations, and return costs.

4. Investigate the East region

The East region has the highest return rate of **5.91%**. The business should look into this region and check factors such as product mix, customer behavior, delivery operations, and common return reasons. This can help identify if there is any specific reason for the higher return rate.

5. Use discounts carefully

The analysis does not show that higher discounts always result in higher return rates. Therefore, the business should not assume that discounts are the main reason for returns. Instead, discounts can be evaluated based on the **product, category, and customer segment** to understand their actual impact on returns.

